

“THE VALUE NETWORKING COMPANY”

UBS Telecommunication Conference

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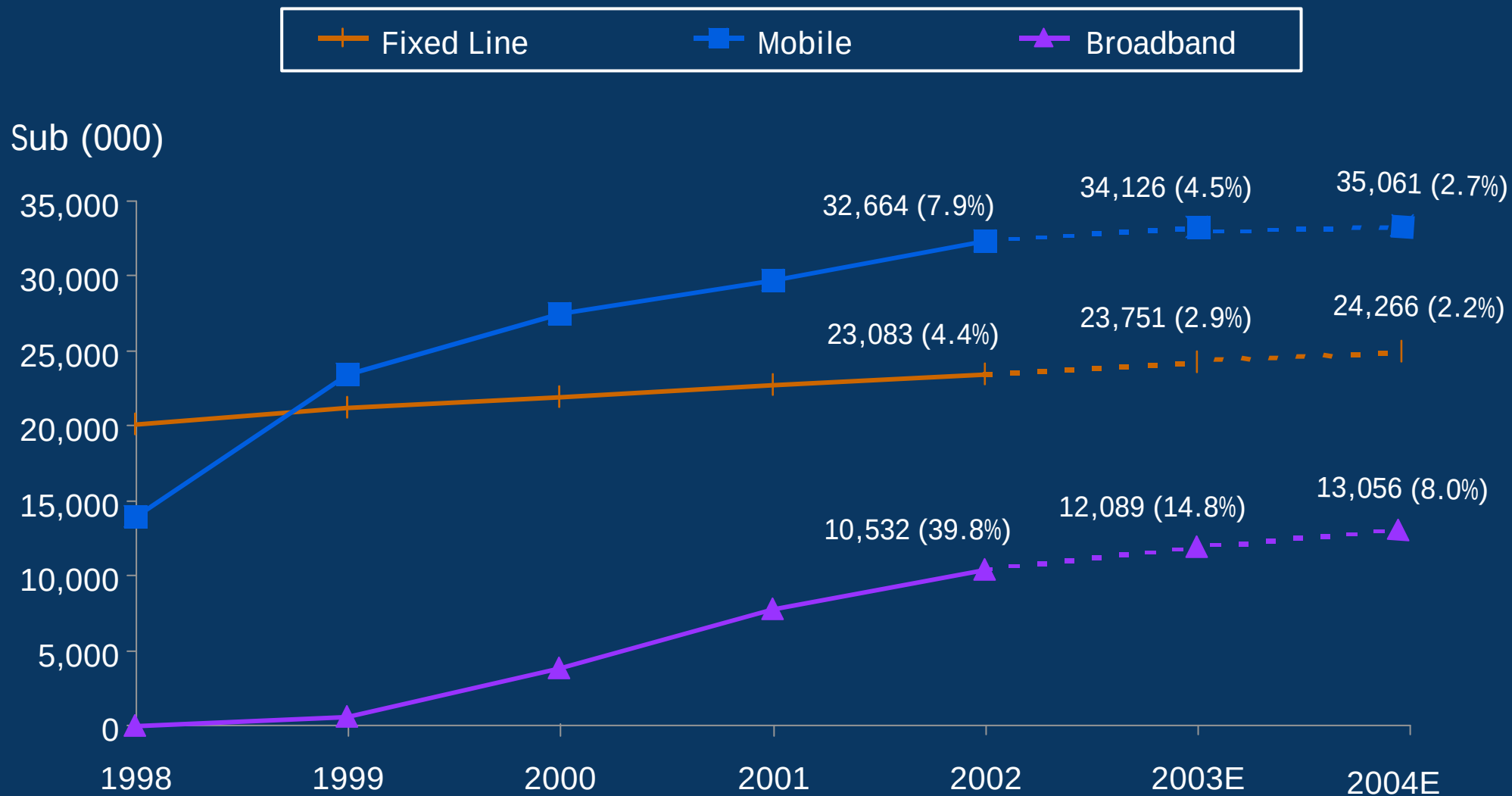
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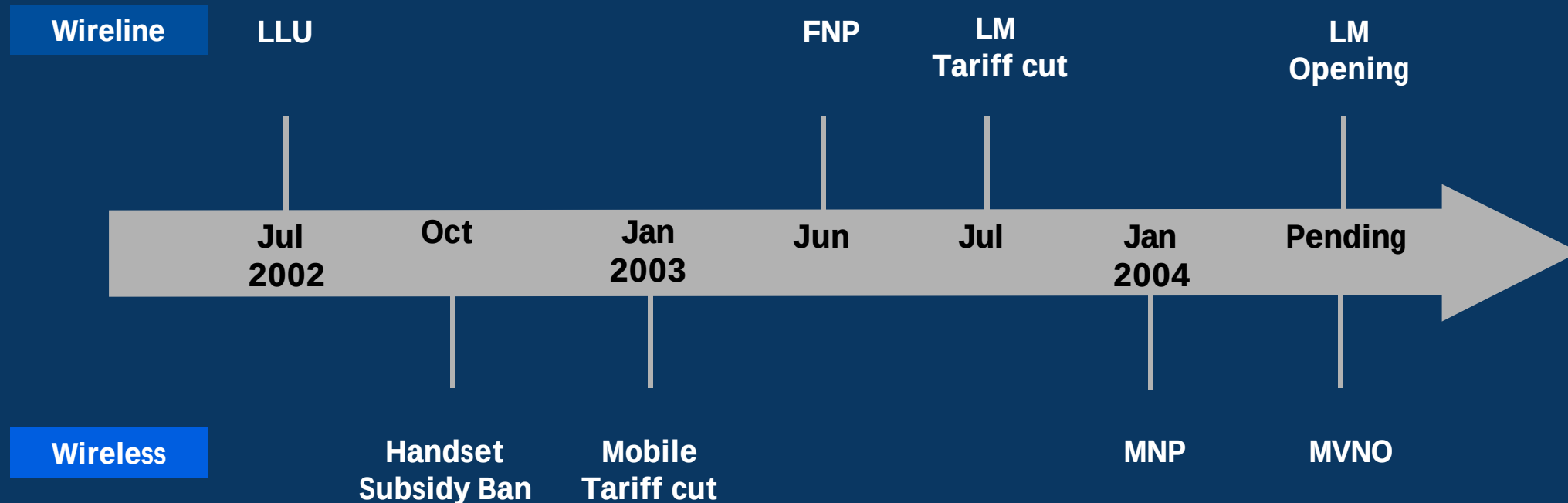
ENVIRONMENT

Industry outlook



Source : KISDI

Regulatory environment

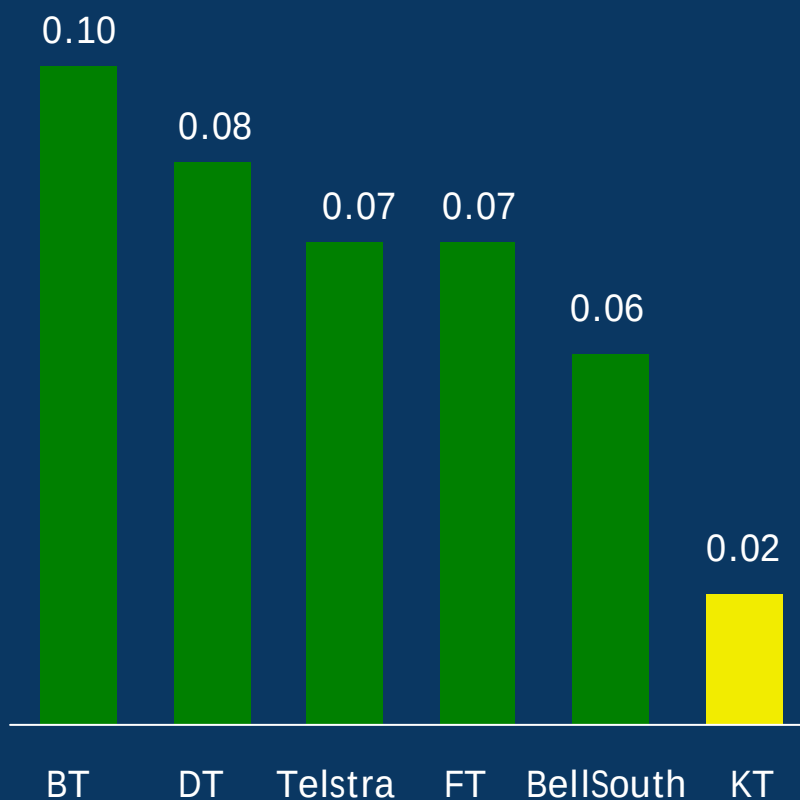


Balanced regulatory environment between wireline and wireless

Low tariff on a global basis

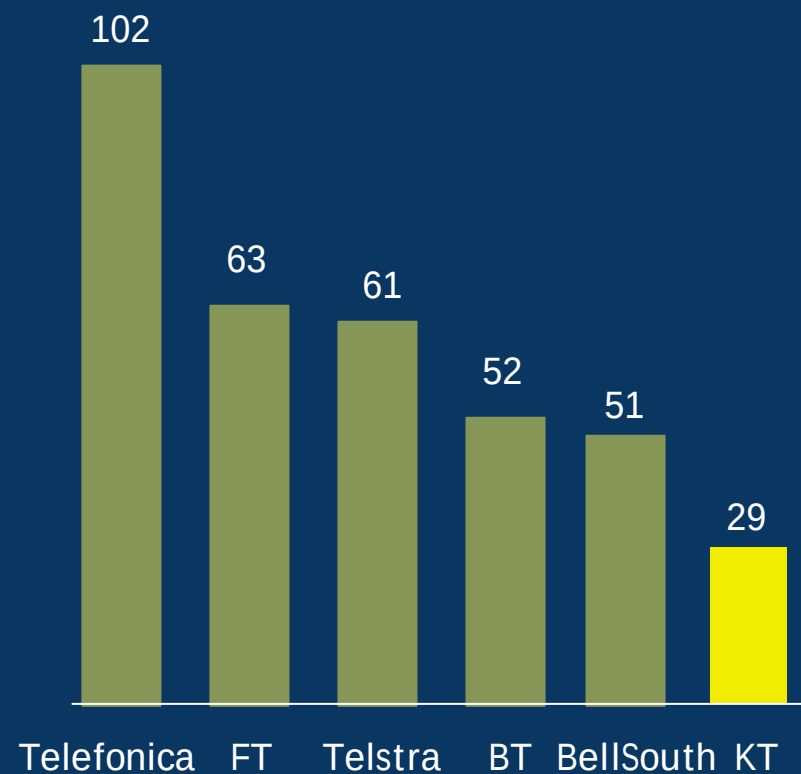
Local call tariff rates

(US\$/min)



Monthly DSL rates

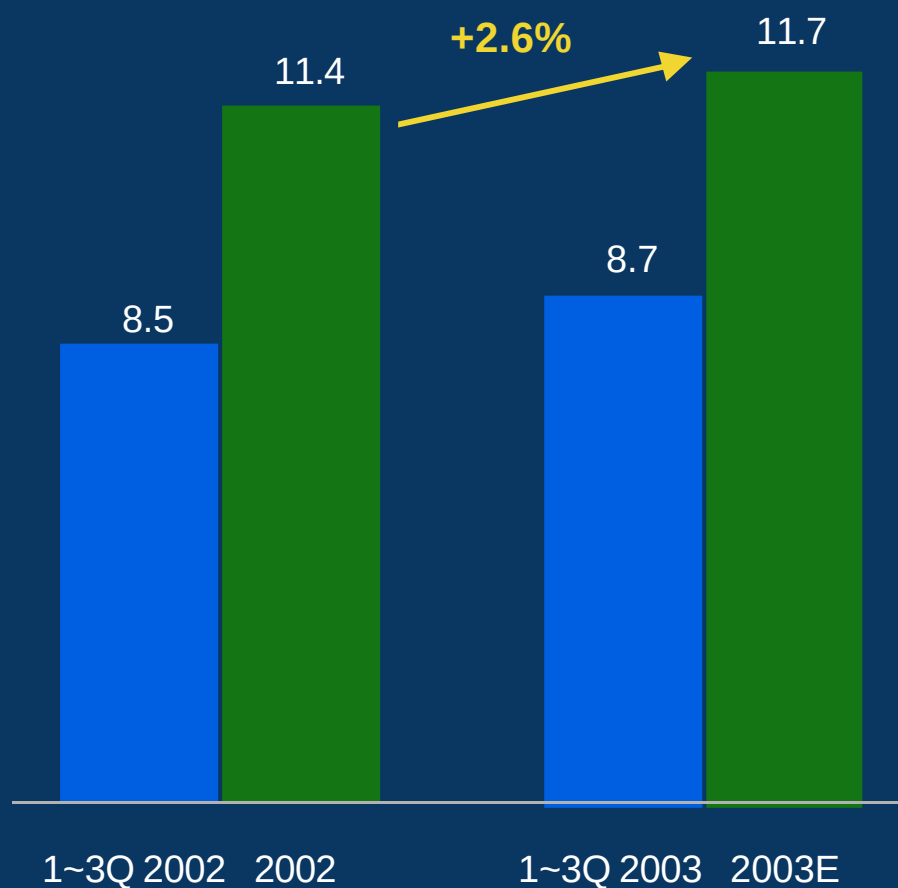
(US\$/month)



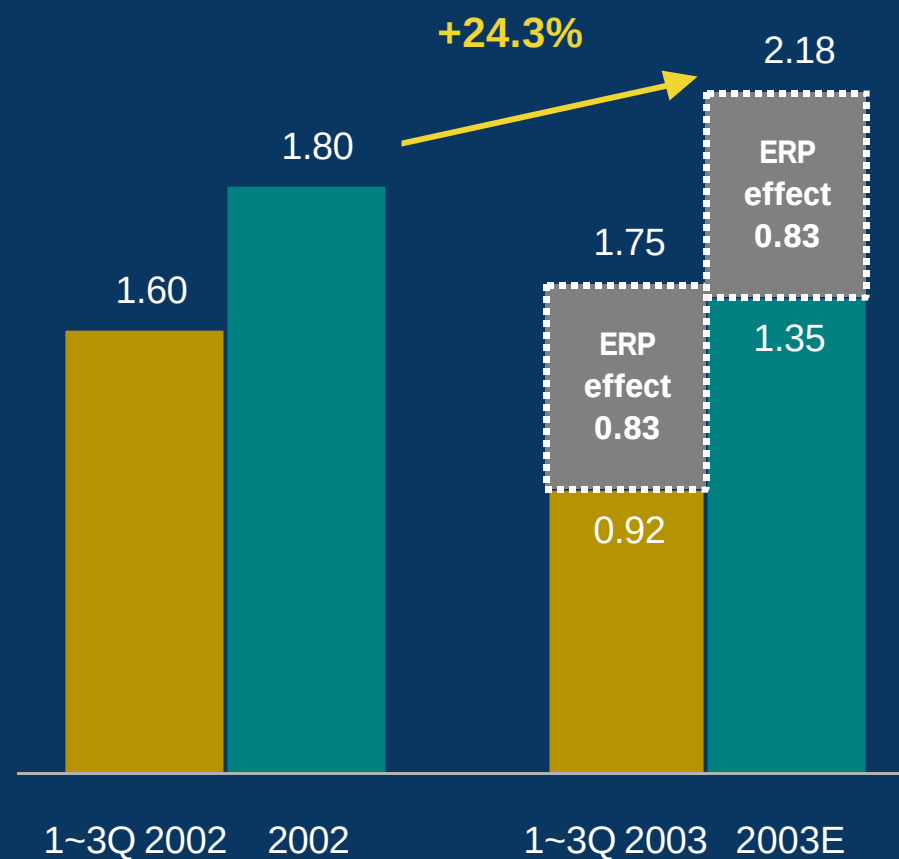
KT CURRENT STATUS

Focusing on earnings growth

Top-line growth (KRW trn)



Operating profit growth (KRW trn)



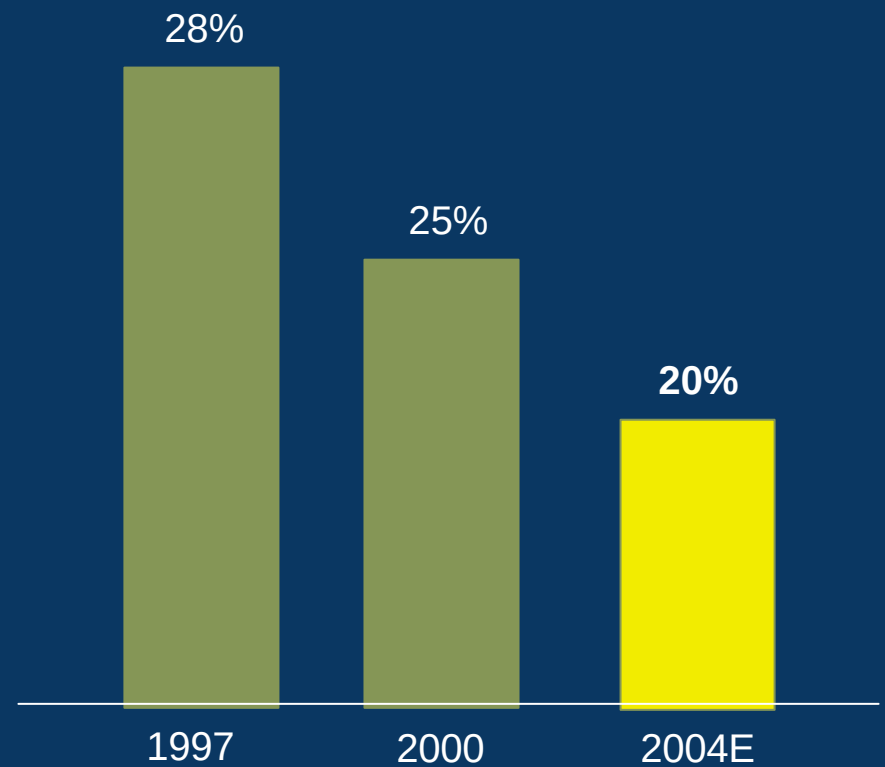
Non consolidated base

Cost reduction effort

Headcount reduction



Labor costs as % of sales



■ No of employees

2004 Key Targets

2004 Key targets

	2002	2003	2004
Revenue (trillion)*	11.4	11.7	12.0
Operating margin **	15.3%	18.8%	20%
EBTDA margin	37.8%	32.9%	40%
CAPEX / Sales	18.3%	17.5%	17%
Labor / Sales **	23.7	21.0%	20%

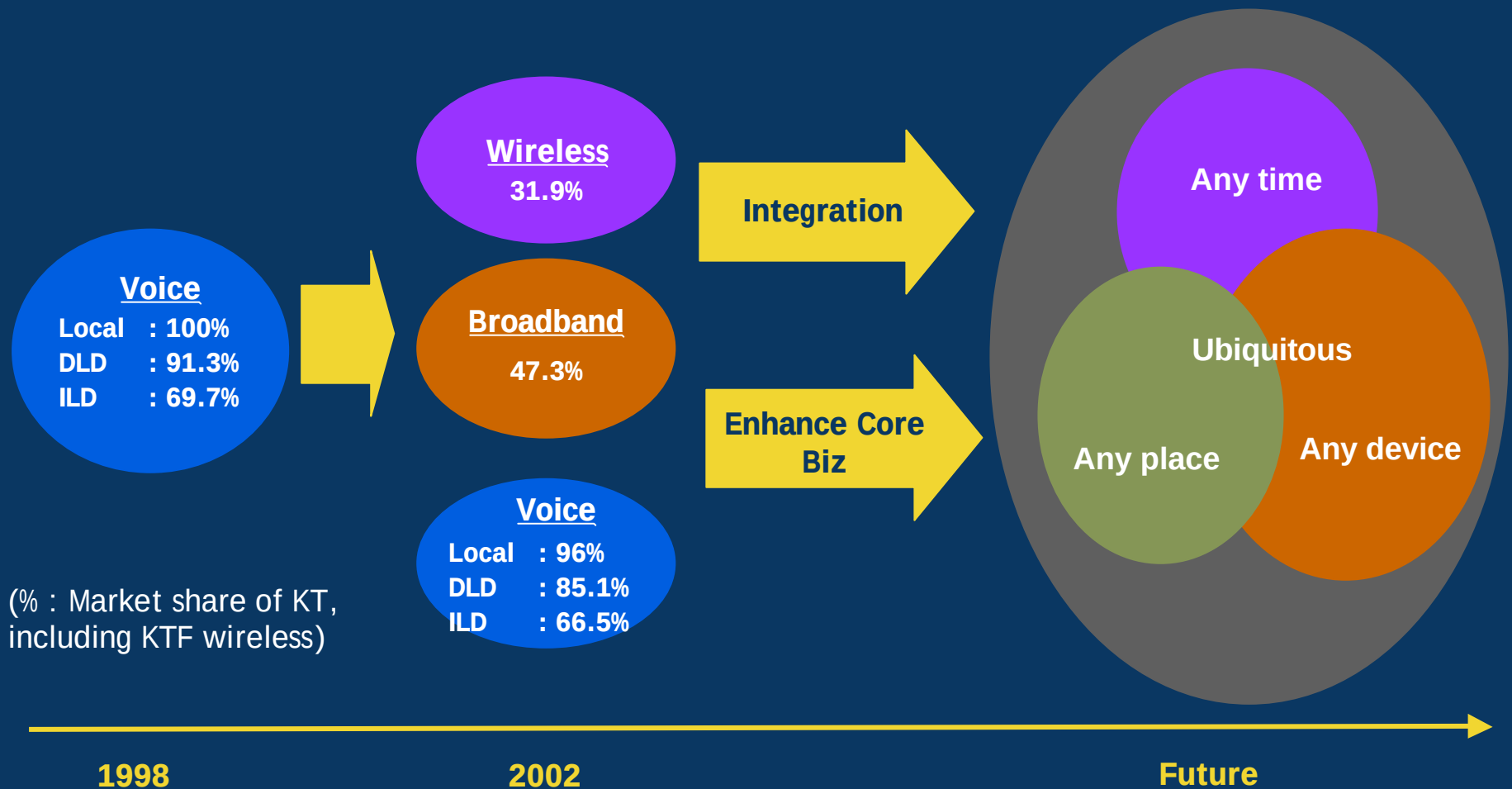
* Net revenue base

** Excluding ERP effect

NEW GROWTH OPPORTUNITIES

Further new opportunities

Convergence trend offering new growth opportunities



New growth opportunities

Customized Service

- Enterprise Total Solution

Convergence

- Broadcasting : DMB, IP Multicasting
- Finance : Smart Card (1' ts)
- Transportation : Telematics
- Home Appliance : Home Networking

Fixed-wireless Integration

- Nspot Swing (Nspot + CDMA)
- 2.3GHz Portable Internet
- One phone

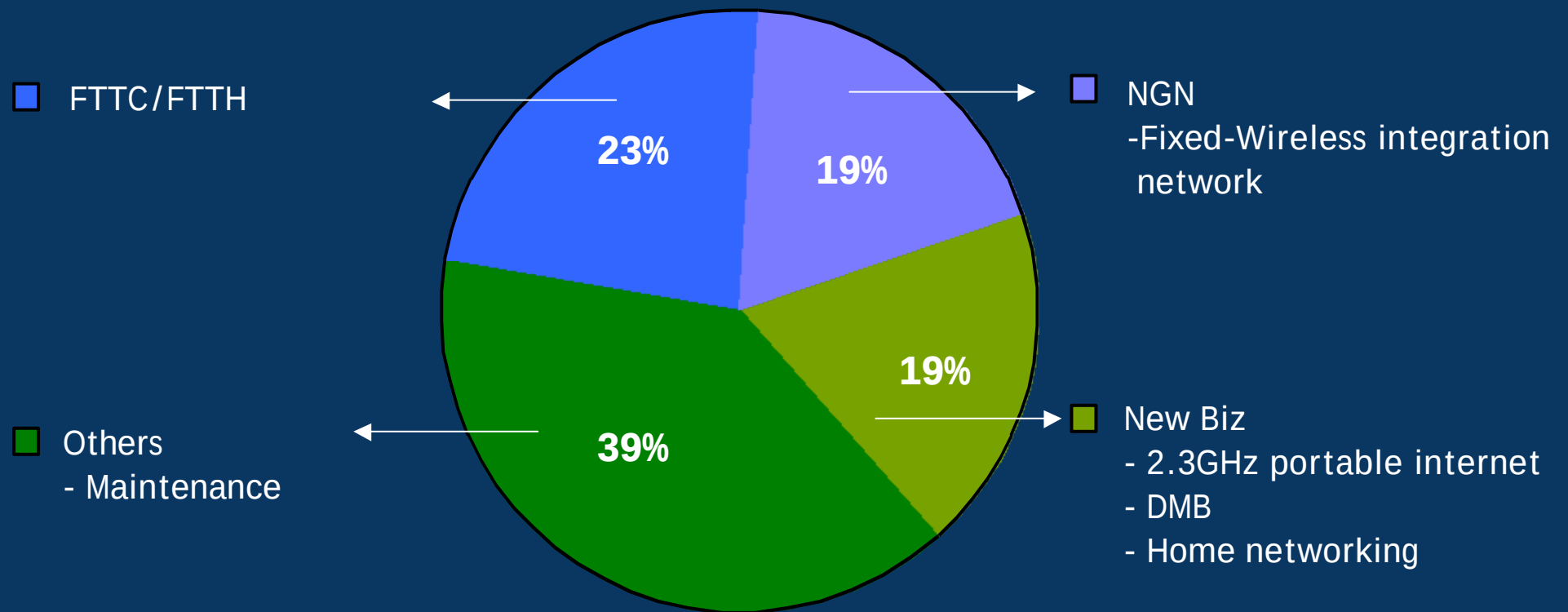
IP & Broadband

- Broadband based access network : VDSL, PON*, FTTH
- IP based premium network service

* PON: passive optical network

Investment for the future

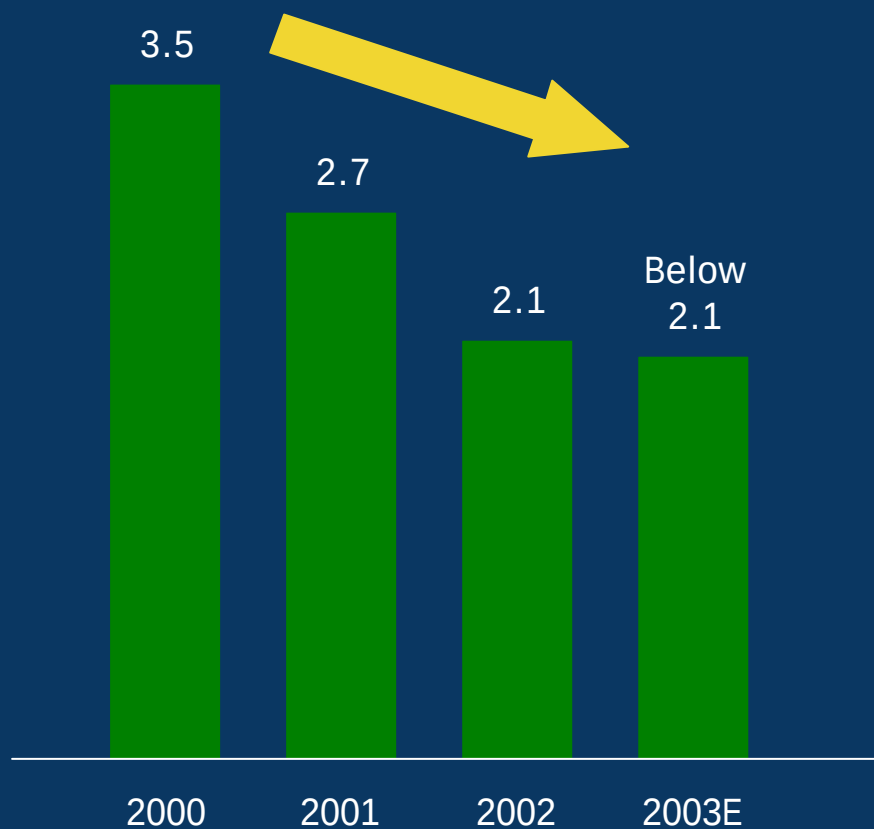
2004~2007 CAPEX breakdown



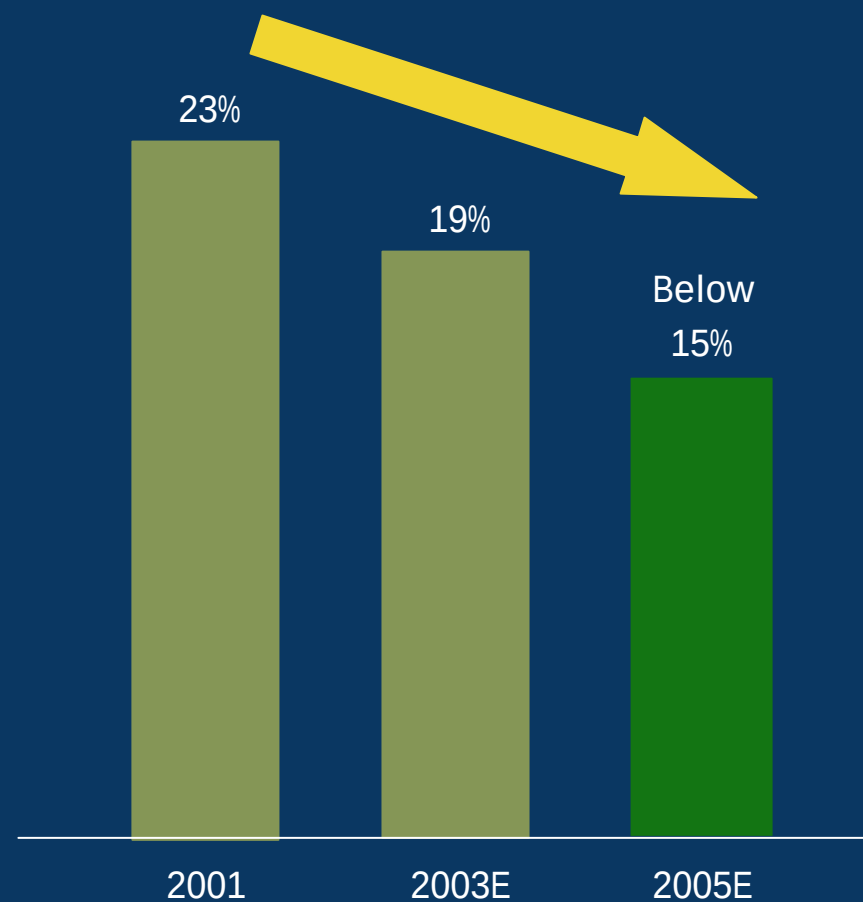
Non consolidated base

Efficient CAPEX control

CAPEX is falling (trn)



CAPEX as % of sales

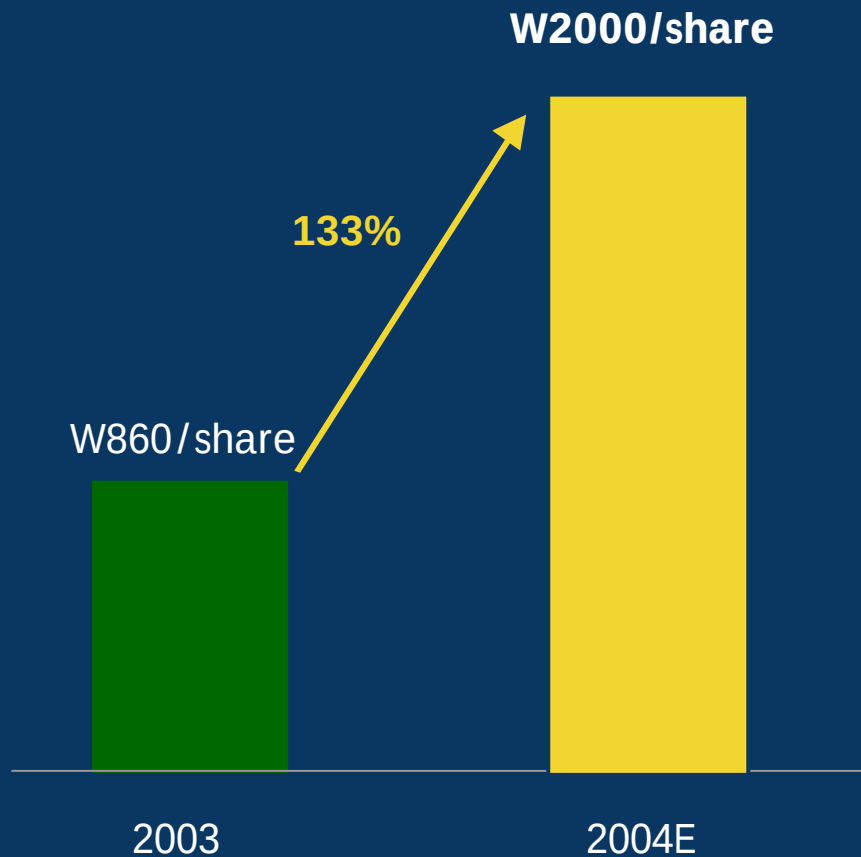


Non consolidated base

SHAREHOLDER INITIATIVES

Increasing return to shareholders

Strong growth in dividends



Non consolidated base

Total return to shareholders

